

Subject Description Form

Subject Code	AF4106
Subject Title	Advanced Financial Accounting
Credit Value	3
Level	3
Normal Duration	1-semester
Pre-requisite / Co-requisite/ Exclusion	Pre-requisite: Intermediate Accounting 2 (AF3111)
Objectives	This subject aims to develop students' ability to prepare and analyse consolidated financial reports for multinational organisations.
Intended Learning Outcomes	Upon completion of the subject, students will be able to: - Compare different types of business combinations and prepare group accounts. - Identify and resolve accounting issues of consolidation and foreign currency translation. - Have sufficient major-specific skills and knowledge to make an immediate contribution to the workplace, and to facilitate the process of continuous professional development.
Subject Synopsis/ Indicative Syllabus	Business Combination Different types of business combination. Reverse acquisition. Corporate expansion and accounting for business combinations. Consolidation of a Group of Companies Formation of a group. Features of consolidation. The reporting entity and consolidated financial statements. Consolidation of wholly owned subsidiaries and partially owned subsidiaries. Consolidation of indirect ownership interests. Reporting intercorporate investments in ordinary shares. Consolidation as of the date of acquisition. Consolidation following acquisition. Intercorporate transfers of noncurrent assets. Intercompany inventory transactions, intercompany indebtedness and intercompany provision of services. Equity method of accounting. Joint arrangement. Risk reporting. Operating segments. Related party disclosures. Financial instrument disclosures. Other disclosures in the annual report. Multinational Accounting Foreign currency transactions. Translation of foreign entity financial statements. Different methods of foreign currency translation. Accounting practices of foreign currency translation for individual companies and group of companies.
Teaching/Learning Methodology	This subject uses a mix mode of teaching with about two-hour lecture and one-hour tutorial. Lectures will introduce perspectives, concepts and techniques which students will be required to apply financial theories and prepare group accounts. Tutorials will initiate students for ideas, concepts and techniques of the topics.

Assessment Methods in Alignment with Intended Learning Outcomes	Specific assessment methods/tasks	% weighting	a	b	c		
	Continuous Assessment	50%					
	1. Quiz	10%	√		√		
	2. Test	30%	√		√		
	3. Participation	10%	√	√	√		
	Final Examination	50%	√	√	√		
	Total	100 %					
	To pass this subject, students are required to obtain Grade D or above in both the Continuous Assessment and Examination components.						
Student Study Effort Expected	Class contact:						
	▪ Seminars					39 Hrs.	
	Other student study effort:						
	▪ Self-study					81 Hrs.	
	Total student study effort					120 Hrs.	
Reading List and References	- Nelson LAM, KP YUEN and Jasmine KWONG, Advanced Financial Reporting: An IFRS Perspective, McGraw Hill. - Pearl Tan Hock Neo and Peter Lee Lip Nyeon, <i>Advanced Financial Accounting: An IAS and IFRS Approach</i>, McGraw Hill. - Tan Liong Tong, Business Combinations and Consolidation - CCH Guide to IFRS 3, IFRS 10, IFRS 11, IFRS 12, IAS 27(r) and IAS 28(r), 2nd E, CCH - Ruth Picker, Ken Leo, Janice Loftus, Victoria Wise, Kerry Clark, Keith Alfredson, <i>Applying International Financial Reporting Standards</i>, Wiley. - HKICPA, <i>Candidates Learning Pack: Module A: Financial Reporting</i>.						